

INTERNAL · NOT FOR CLIENT

# Pricing rationale Erth to Erth.

Why we're not charging \$500 / \$1,000 flat —  
and what to charge instead.

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**Audience** · Internal only

**Use** · Reference for the conversation; never share with the brand

**Status** · Draft for discussion

THE PROPOSAL ON THE TABLE

\$500/mo for the first 1,000 MAU. \$1,000/mo above.

Two flat tiers. Simple. Round numbers. Easy to explain. We need to talk about why this breaks above 1K MAU and what to do instead.

REALITY CHECK

What this actually costs us to run.

Bare infrastructure + AI only — assumes "minimal effort" mode (no allocated maintenance dev). The fixed-cost reality is harsher when we add ~10–15 hours/year of mandatory OS-update work.

| MAU    | INFRA & SAAS | AI      | OUR COST / MO | COST PER MAU |
|--------|--------------|---------|---------------|--------------|
| 1,000  | \$140        | \$140   | ~\$280        | \$0.28       |
| 5,000  | \$400        | \$400   | ~\$800        | \$0.16       |
| 15,000 | \$900        | \$1,100 | ~\$2,000      | \$0.13       |
| 25,000 | \$1,200      | \$1,500 | ~\$2,700      | \$0.11       |
| 50,000 | \$2,200      | \$3,000 | ~\$5,200      | \$0.10       |

THE SINGLE BIGGEST VARIABLE

AI usage. The fit-assistant chat is the line item that can spike. With prompt caching on the brand-voice + catalog system block, the chat cost drops 3–5×. Without it, a viral moment can blow the budget in a weekend.

## Three problems with the proposed model.

### 1. It doesn't scale with our costs.

At 5K MAU our infra+AI alone is ~\$800. Margin is \$200. At 25K MAU costs are ~\$2,700 — we're losing \$1,700/month. The flat ceiling inverts the unit economics the moment the app starts working.

### 2. The 1,001-MAU cliff is jarring.

Revenue 2× overnight on the same product. The brand will notice and push back the day they cross it. Round-number psychology cuts both ways.

### 3. No upside if it actually works.

If the app reaches 50K MAU we're earning \$1K while the brand is getting six-figure value. They either renegotiate (we lose) or they don't (we lose harder).

### 4. "Minimal effort" isn't zero effort.

Apple and Google force ~2 mandatory maintenance windows / year — sign-in lib changes, push cert rotation, OS API deprecations. Budget 10–15 hrs/year as a fixed cost regardless of MAU. The pricing must cover this even at 0 active users.

RECOMMENDED MODEL

\$500 floor + \$0.30 per MAU above 1,000.

Same two-number simplicity as the original proposal. No cliff. Margin grows with usage instead of inverting. The brand pays nothing extra until the app is working for them.

| MAU    | THEY PAY | OUR COST | MARGIN  | MARGIN % |
|--------|----------|----------|---------|----------|
| 1,000  | \$500    | \$280    | \$220   | 44%      |
| 2,500  | \$950    | \$500    | \$450   | 47%      |
| 5,000  | \$1,700  | \$800    | \$900   | 53%      |
| 15,000 | \$4,700  | \$2,000  | \$2,700 | 57%      |
| 25,000 | \$7,700  | \$2,700  | \$5,000 | 65%      |

ALTERNATIVE IF LINEAR FEELS TOO "METERED"

Step tiers — \$500 / \$1,000 / \$2,000 / \$4,000 at 1K / 5K / 15K MAU bands. Same shape, fewer round-number conversations, but reintroduces small cliffs.

DEAL-MAKING TACTICS

How to anchor the conversation.

- **Lead with the floor, not the variable.** "\$500/mo to start" is the headline. "+\$0.30 per MAU above 1K" is the footnote — and it only matters when the app is succeeding.
- **Frame the \$0.30 as cost-plus, not margin-grab.** "Covers the AI calls, hosting, and email each new active user generates." It's roughly 2× our true variable cost — fair in this market.
- **Always include an AI overage clause.** "AI usage above 100K LLM calls / month billed at cost +20%." Caps our exposure to a viral moment.
- **Bundle the build differently.** If they push back on per-MAU, offer a flat \$1,500/mo with a 24-month minimum and a \$20K higher build fee. Gives them predictability; gives us the cash up front.
- **Do not include unlimited support.** Define "minimal effort": one critical-issue response time, one feature ask per quarter, OS-required updates. Anything else is T&M.

## Internal-only notes.

### **COST TRAP TO FLAG IN CONTRACT**

If the brand insists on flat pricing, set the flat number at **\$2,000/mo**, not \$1,000. That's the level where we stay above water at 5–10K MAU. Anything below assumes they never grow.

### **REAL MARGIN TARGET**

50–60% gross at steady state. Below 40% and we can't fund the next feature; above 65% and the brand will eventually figure it out. The \$0.30/MAU rate is calibrated for the middle of that band.

### **EXIT CLAUSE**

30-day mutual termination clause. Source code, customer data, model logs in the brand's accounts. We hold no leverage except being good — that's the right pressure to be under.

### **RECOMMENDED ASK**

**\$500/mo + \$0.30 per MAU above 1,000. AI overage at cost +20%. 30-day exit.**

The original \$500 / \$1,000 instinct was right at the bottom and wrong at the top. Keep the friendly floor. Replace the cliff with a slope.